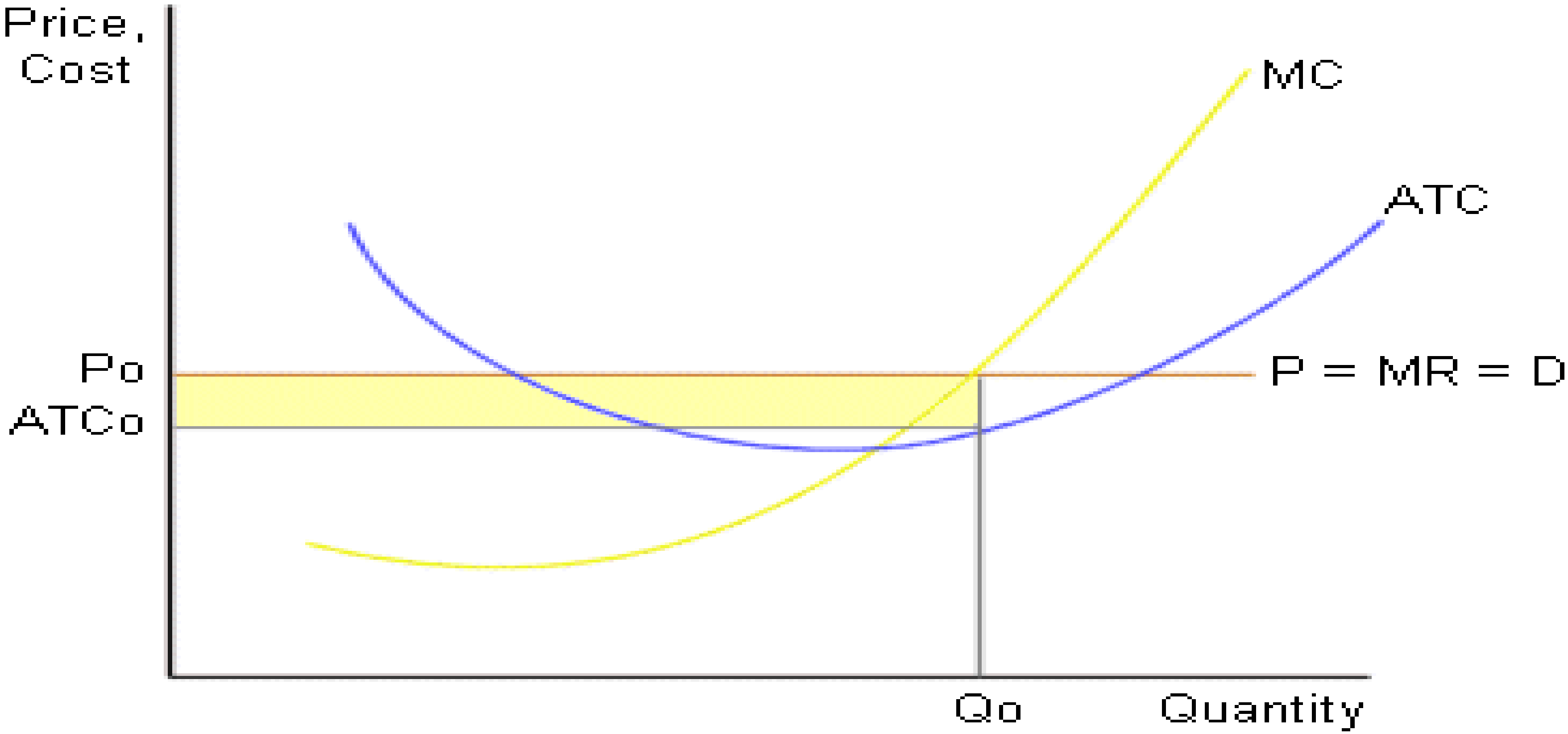
MARKET ANALYSIS

Profit maximization of Perfect Competition

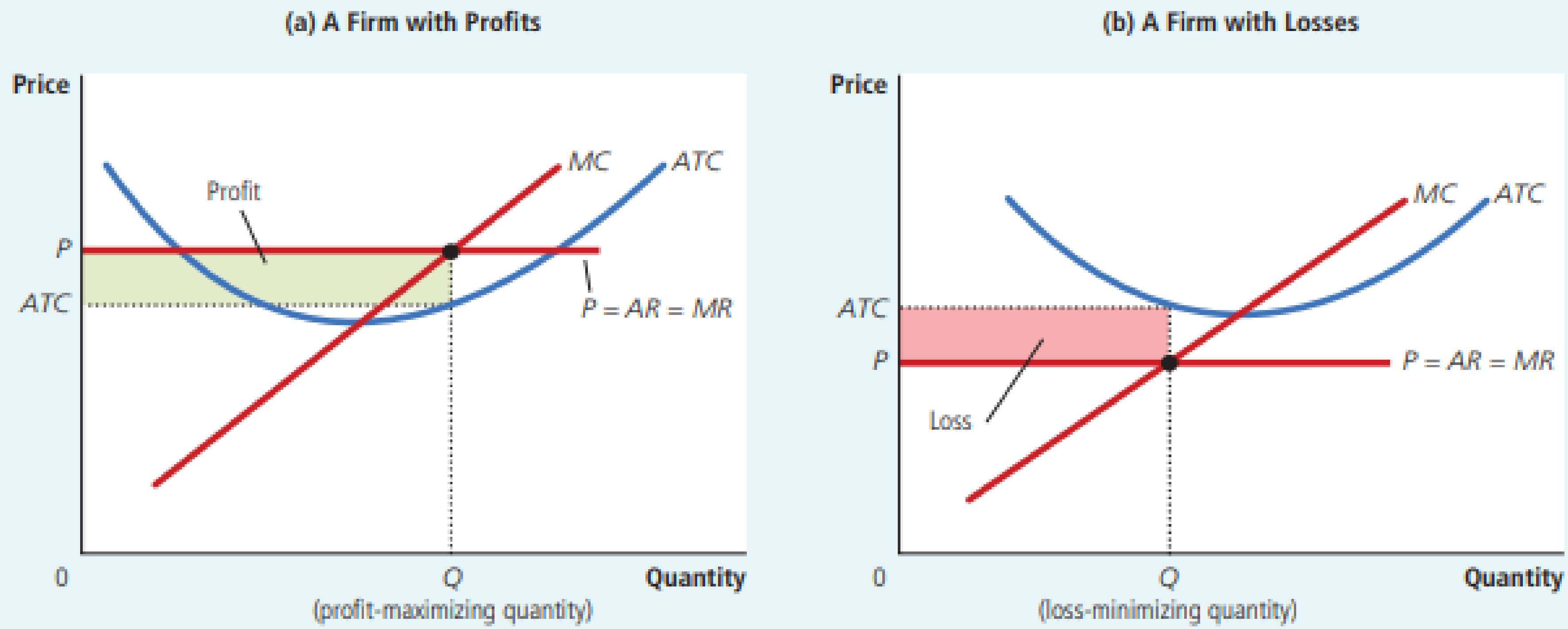


Profit and loss of Perfect Competition

FIGURE 5

Profit as the Area between Price and Average Total Cost

The area of the shaded box between price and average total cost represents the firm's profit. The height of this box is price minus average total cost ($P - ATC$), and the width of the box is the quantity of output (Q). In panel (a), price is above average total cost, so the firm has positive profit. In panel (b), price is less than average total cost, so the firm incurs a loss.



Long-run zero economic profit of Perfect Competition

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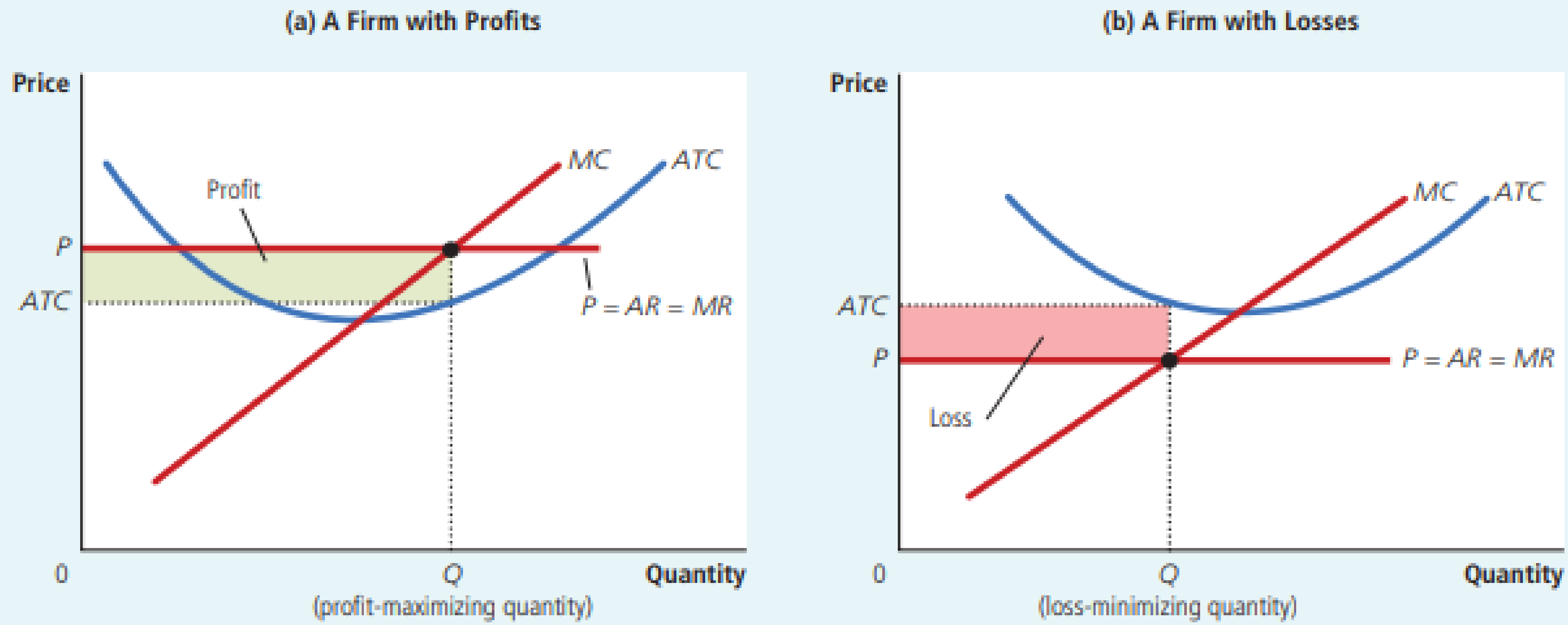
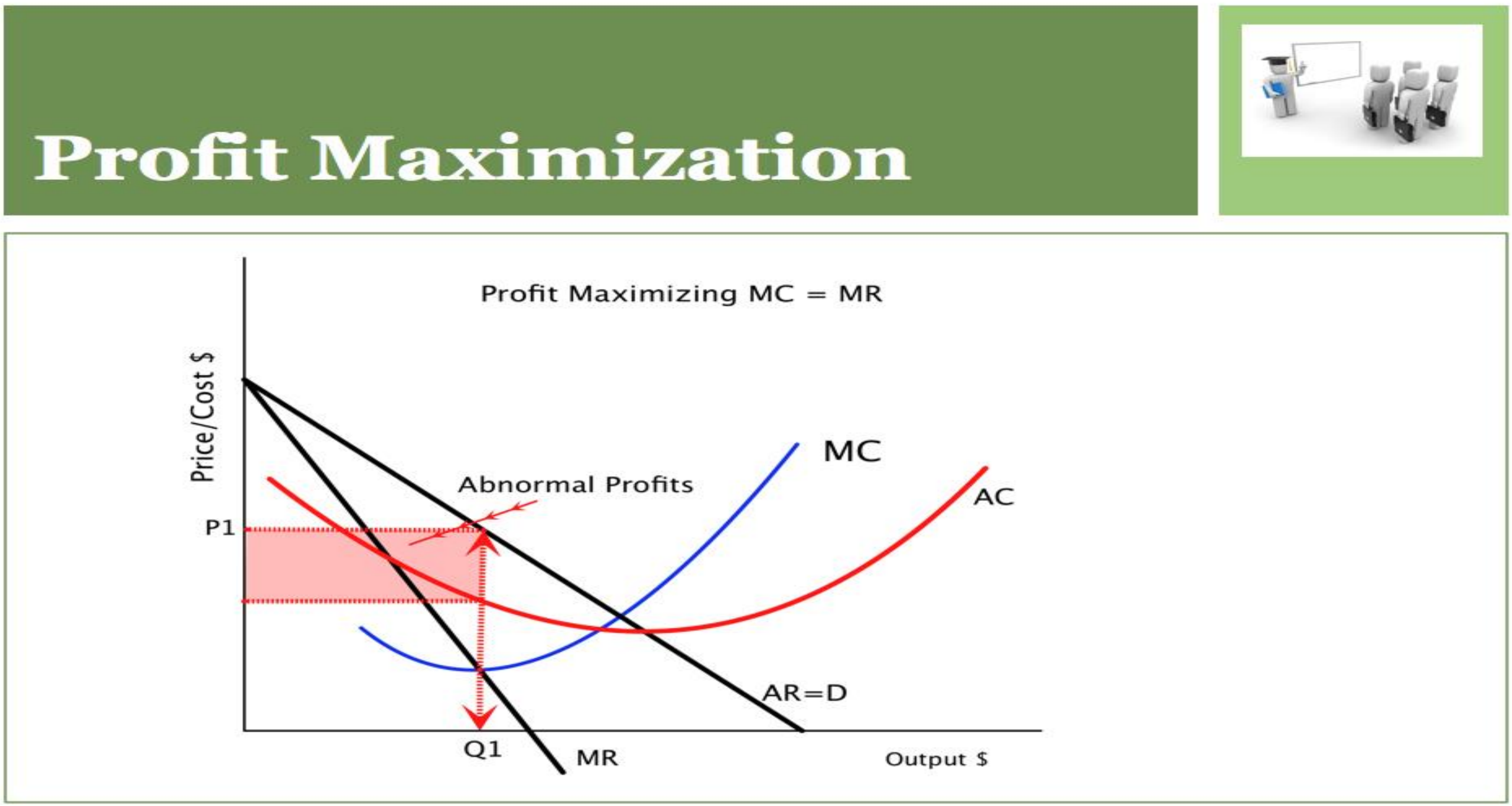
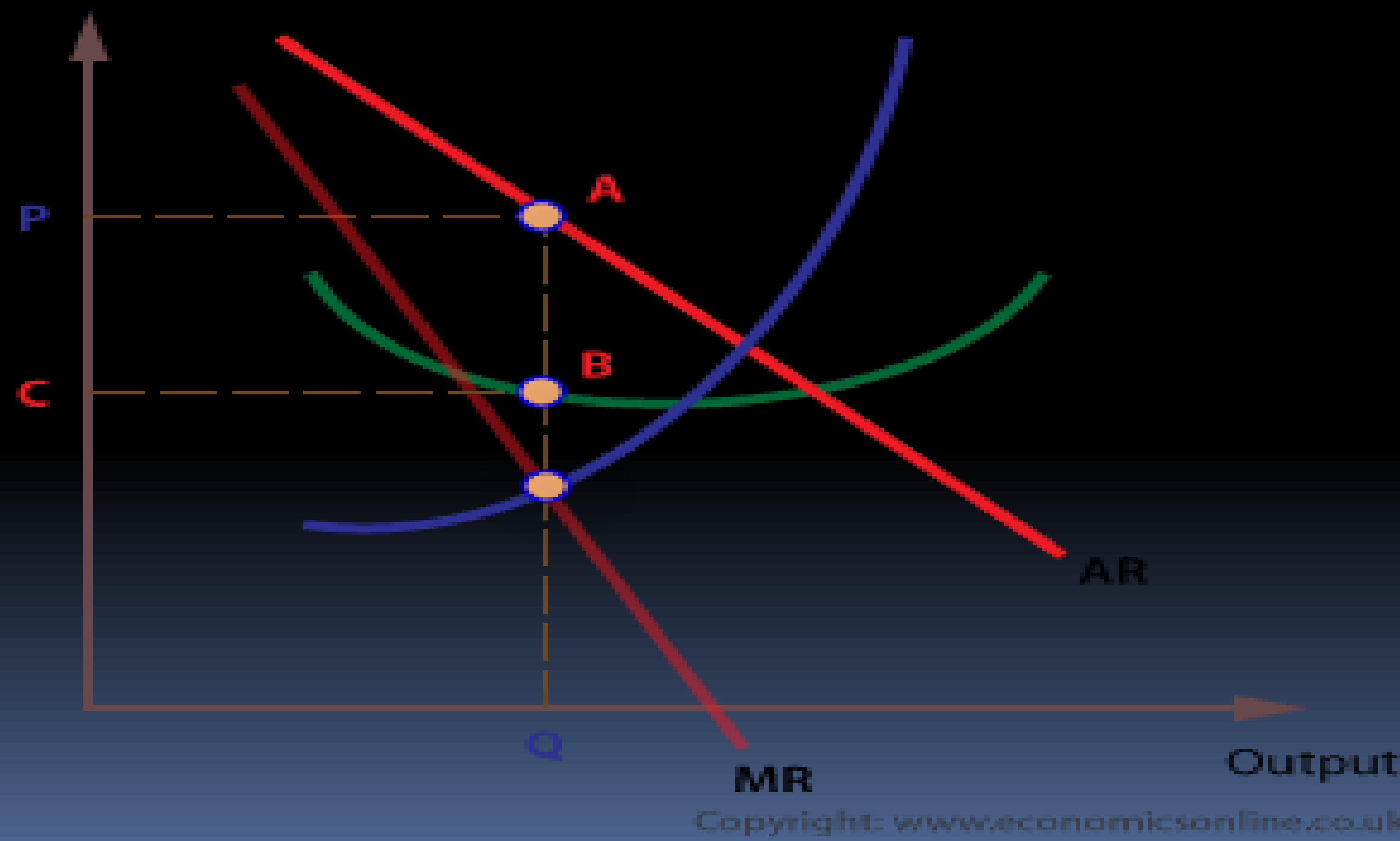


Profit maximization of Monopoly



Profit Maximization of Monopolistic Market

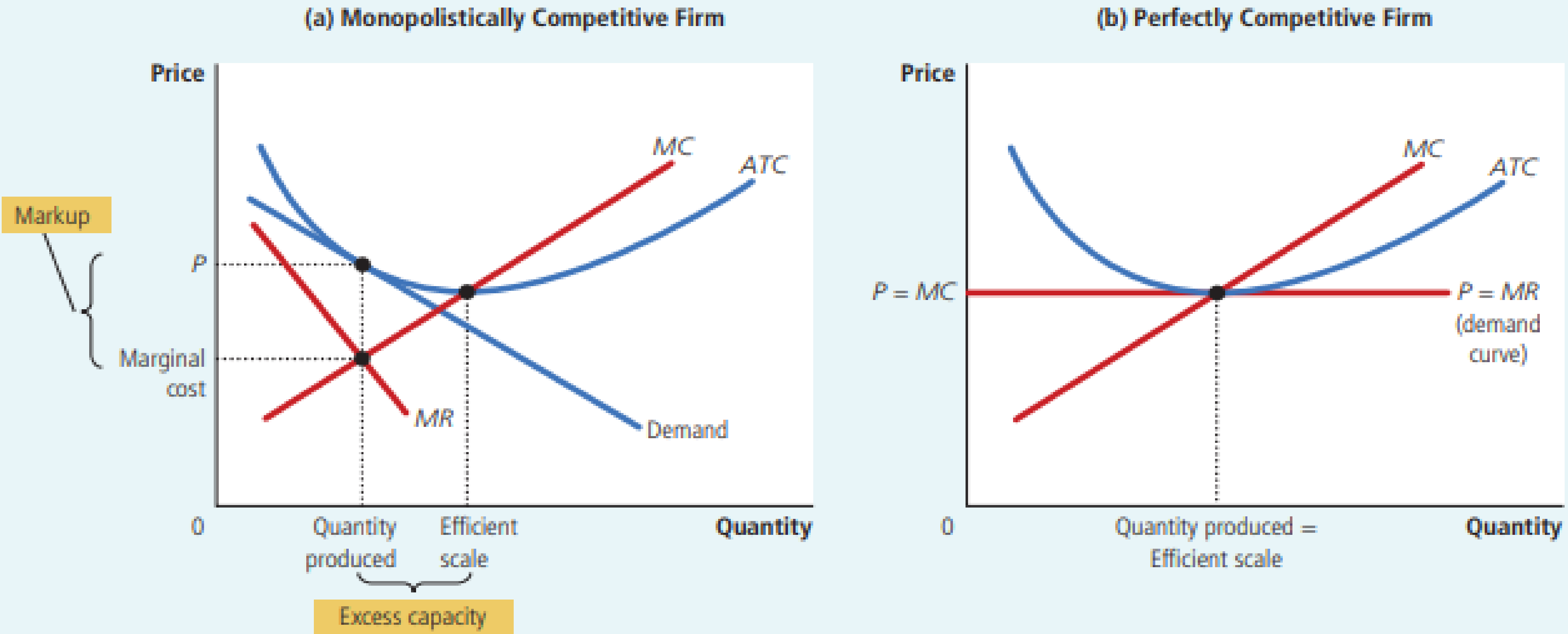


Excess Capacity of Monopolistic Firms

FIGURE 4

Monopolistic versus Perfect Competition

Panel (a) shows the long-run equilibrium in a monopolistically competitive market, and panel (b) shows the long-run equilibrium in a perfectly competitive market. Two differences are notable. (1) The perfectly competitive firm produces at the efficient scale, where average total cost is minimized. By contrast, the monopolistically competitive firm produces at less than the efficient scale. (2) Price equals marginal cost under perfect competition, but price is above marginal cost under monopolistic competition.

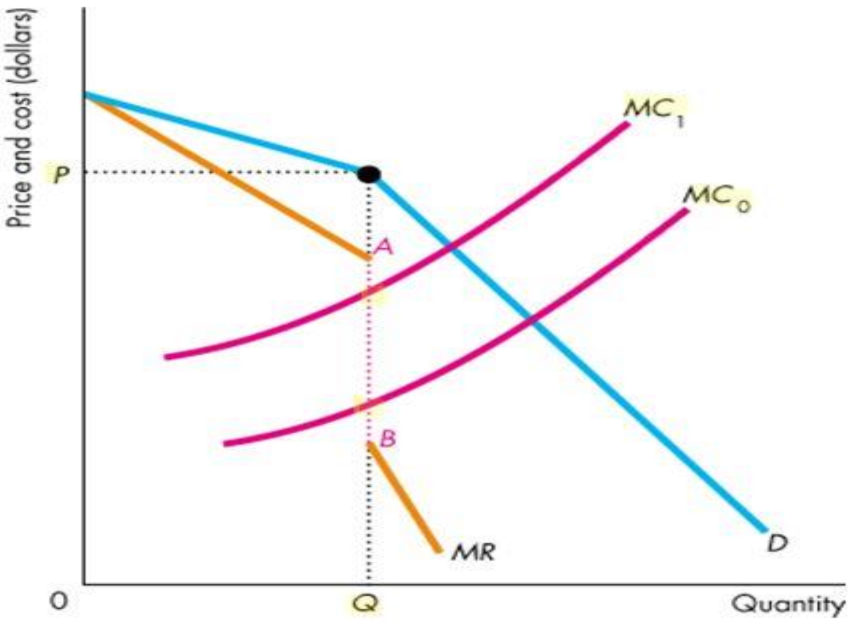


Oligopoly Kinked demand curve theory

Oligopoly

Fluctuations in *MC* that remain within the discontinuous portion of the *MR* curve leave the profit-maximizing quantity and price unchanged.

For example, if costs increased so that the *MC* curve shifted upward from MC_0 to MC_1, the profit-maximizing price and quantity would not change.



Loss minimization and shutdown rule

- Suppose that P < ATC at the level of output at which MR = MC. Will the firm continue operations? To determine this, the firm has to compare its loss if it stays in business with its loss if it shuts down. If the firm decides to shut down, its revenue will equal zero and its costs will equal its fixed costs.(Remember, fixed costs must be paid even if the firm shuts down.) Thus, the firm receives an economic loss equal to its fixed costs if it shuts down. It will stay in business in the short run even if it receives an economic loss as long as its loss is less than its fixed costs. This will occur if the revenue received by the firm is large enough to cover its variable costs and some of its fixed costs. In mathematical terms, this means that the firm will stay in business as long as: **TR = P x Q > VC**

ANY QUESTION?

THANK YOU